

As discussed in Chapter 1, in the early 1970s with the oil embargo, deep recession, and reduction in the consumer's discretionary spending, highway motels were suffering. They were being sold at very cheap prices—all based on their pathetic near-term prospects. Papa Patel knew he was buying during distressed conditions and getting a great price. Manilal, too, made his move in the depressed travel industry right after 9/11. Mittal loaded up on assets in severely distressed businesses in a severely distressed industry in severely distressed countries and geographies. That's distressed to the power of three. No wonder he's near the top of the *Forbes* 400. While lecturing a group of students at Columbia University, at age 21, Buffett stated:

I will tell you how to become rich. Close the doors.

Be fearful when others are greedy. Be greedy when others are fearful.⁴

—Warren Buffett

While Papa Patel, Manilal, and Mittal were not in that closed room in 1952, they intrinsically understand that the very best time to buy a business is when its near-term future prospects are murky and the business is hated and unloved. In such circumstances, the odds are high that an investor can pick up assets at steep discounts to their underlying value. No one knows that better than Lakshmi Mittal.

4. BUY BUSINESSES WITH A DURABLE COMPETITIVE ADVANTAGE—THE MOAT.